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Introduction

1.2: Fusion Analysis: Technical Analysis as Part of a Team Approach.

Introduction

As the prevailing technician's proverb goes...

A fundamental analyst and a technical analyst were in a kitchen cooking. A knife fell off the counter and penetrated the fundamental analyst's foot. The fundamental analyst asked the technical analyst why he didn't try to catch the knife before it hit the fundamental analyst's foot. The technical analyst replied, "You should know that I do not try to catch a falling knife." The technical analyst turned to the fundamental analyst and asked him why he didn't move his foot. The fundamental analyst replied, "I didn't think it would fall that far without reversing." -Author Unknown

Fundamental analysis and technical analysis can often be pitted against each other, but that is wrong. While there may be a disconnection at times, most discrepancies are most prevalent at the end of one trend and the start of a new trend. When there is a disconnection, the evidence should continue to be gathered and evaluated, devoid of any preexisting bias.

Understanding the Role of a Fundamental Analyst

Fundamental analysts focus on the company, particularly its earnings, management, growth prospects, products, etc. It is often said that fundamental analysts focus on the "what and why" — the *cause*. To accomplish their goals, fundamental analysts speak to senior executives and employees at their coverage companies, competitors, industry experts, and customers, as well as review public filings and study published guidance, and they may use sophisticated data analytics and industry consultants to prepare a financial model. This financial model includes assumptions and estimates of projected revenue, costs, earnings, cash generation, balance sheets, and non-GAAP (generally accepted accounting principles) metrics du jour. Fundamental analysts also look at qualitative factors to develop a thesis on the company's current business and potential growth opportunities, such as acquisitions or new markets to enter.

In addition to understanding the intricacies of a company and its industry as well as generating quarterly estimates, fundamental analysts calculate a stock's enterprise value. Enterprise value is the total value of a company that extends beyond its market capitalization to include short- and long-term debt, preferred equity, non-controlling interests, and cash. The enterprise value can be considered the company's "takeout" value or how much a third party would be willing to

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1.2 Fusion Analysis: Technical Analysis as Part of a Team Approach

all of the aforementioned factors. Earnings estimates and stock price targets are often adjusted when ratings are confirmed or changed. Since October 2000, the effective date of SEC Regulation FD, selective disclosure to “favored fundamental analysts” is no longer permitted. Accordingly, all fundamental analysts are on a level playing field for basic company information, and unsurprisingly, most published ratings are the same for competing analysts covering the same companies.

Fundamental analysts need to have an understanding of finance and accounting. An understanding of accounting is necessary to prepare a properly functioning three-statement financial model (i.e., income statement, balance sheet, and statement of cash flows). What some non-accountants may not realize is that the annual reports that publicly traded corporations file with the SEC are simply “reasonable estimates” of a company’s financial position. What’s more, audited financial statements may be restated or reformatted in a way that negates comparability, even with direct competitors. Each company can select its own accounting methodology for various line items, which makes even a comparison of the same line item between two companies in the same sector with roughly the same attributes difficult. Simply put, despite the time and cost of preparation and the SEC Regulation G requirement to reconcile a non-GAAP measure to a GAAP measure, financial statements of companies are not necessarily comparable and are often determined using assumptions within defined parameters. In short, accounting is as much an art as a science.

Because of the depth that fundamental analysts go to study a company and its industry, many specialize in a specific industry or sector. While the basics of accounting and model preparation are similar regardless of the sector, it is simply impractical to expect someone who knows the intricacies of the oil industry to be just as well versed in consumer retail trends. As a result of the sector focus and thousands of publicly traded companies, there are obviously more employment opportunities for someone to become a fundamental analyst, although challenges sometimes lie in covering an industry of an analyst’s choosing, especially one early in their career.

Understanding the Role of a Technical Analyst

By contrast, technical analysts focus on the price behavior of a stock, particularly the interaction of buyers and sellers, volume, and investor psychology. It is often said that technical analysts focus on the “when and where” — the *effect*. To accomplish their goals, “technical analysts study price action, primarily through the use of charts, for the purposes of forecasting future price trends.”¹

The skillset of a technical analyst allows them to be sector and asset class agnostic. The technical analyst can spend their morning analyzing soybeans, their afternoon analyzing oil, and their evening analyzing single stocks. The versatility of a technical analyst to simultaneously analyze any security or asset class often limits the need to have many technicians employed at the same firm, particularly in this era when price charts are no longer prepared and maintained by hand.

not mean that a technical analysis is somehow inferior or incomplete. In fact, it is quite the contrary. The fundamentals of a security or asset class are reflected in market price as much as all news and most information is included in market price. Depth and liquidity of a robust market assures that most information is included in market price, even some illegal trading based on inside information. Due to their technical skillset, technicians can see the bigger picture that can be accidentally missed by fundamental-only investors. Technicians can be viewed as a general practitioner, to use a medical metaphor, or a utility player in baseball, while a fundamentalist can be viewed as a specialist (e.g., cardiologist), or a position player (e.g., pitcher).

One Entity, Two Components

To understand any entity, there are two components: the company and the stock. It is important to understand that the company and its stock can move in opposite directions. Earnings results are often a catalyst for material moves in a company's stock. While investors can gauge the expected range of a stock (based on the at-the-money straddle), it does not predict direction, a ceiling, or a floor. Of course, when a company reports results that beat estimates with positive forward-looking guidance and the stock trades higher, it is the logical response. Similarly, when a company misses estimates and provides negative forward-looking guidance and the stock trades lower, that is also the logical response.

What about instances when a company reports great results, beats expectations, and provides bullish forward-looking guidance, but the stock trades down? Or the times when a company misses estimates, gives lackluster forward-looking guidance, and the stock is flat or moves higher? The latter two are counterintuitive, but they happen with more frequency than one might expect. What few realize is that the technical position of the stock going into the catalyst event (e.g., earnings) can often determine the reaction or the magnitude of the reaction. For example, why does a stock jump 10% on an earnings beat in one quarter but only 5% on a similar beat in the next? Questions like this can only be answered through an analysis of the stock.

Both fundamental and technical analysts look at the same entity from a different perspective. Marrying the two approaches enables an analyst to provide a holistic view of not just the company, but the reasonableness of the assumptions, particularly entries, target prices, and valuation. Simply put, it is an alternative path to arrive at the same place — alpha generation.

The focal points to analyze the attributes of a company by fundamental analysts and the focal points to analyze the stock of the same company are set forth in Figure 1.2.1. It is important to note that all of the focal points considered by a fundamental analyst, as well as analysts' ratings, are reflected in the price of the company's stock.

Fundamental Analysts look at “**what**” and “**why**” to determine **cause** through:

Competition P/E Ratio Products
Management Balance Sheet



Technical Analysts look at “**when**” and “**how**” to determine **effect** through:

Volume Price Risk
Volatility
Supply & Demand Psychology

The Stock

FIGURE 1.2.1 The company and the stock

Source: Ralph Acampora (modified)

Both fundamental and technical analysts use historical data as inputs in their price target forecasts. The difference is that technicians rely more on past data than fundamental analysts do. This is because fundamental analysts rely heavily on assumptions and forward-looking guidance, which is typically being changed quarterly. Even corporate earnings results are subject to revisions (and are subject to being restated). Technicians rely on historic data and update their outlook when new information emerges, but there are often fewer assumptions since historical price does not change and the primary trend cannot be manipulated. As Ralph Acampora has so eloquently stated, “Price is fact, but earnings are estimates. You restate earnings; you never restate price.”

A principal metric of fundamental analysts’ price valuation is the price-to-earnings (P/E) ratio (or some similar ratio for companies that are not consistently profitable). What many non-technicians fail to realize is that half of the formula, the “P,” is technical. Fundamentalists focus solely on estimating the “E.” This is done using a series of assumptions based on forecasting corporate revenues and expenses, which also makes assumptions on growth trajectory, and much more. Technical analysts focus on price, which has much fewer assumptions. Think of the P/E ratio as an algebraic formula and instead of solving for E, look at solving for P, which requires fewer assumptions. Ahead of any investment, consider both the company and the stock. The elements and characteristics of the P/E ratio are set forth in Figure 1.2.2.

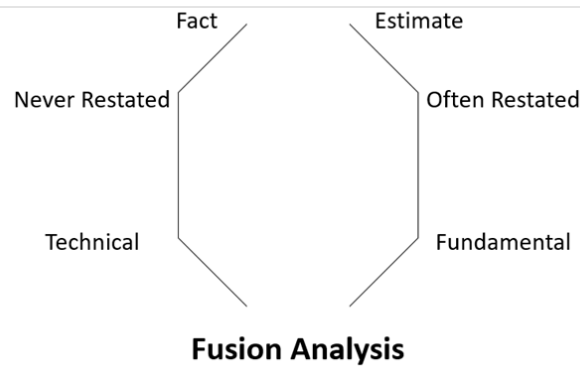


FIGURE 1.2.2 Elements and characteristics of the P/E ratio

Source: Ralph Acampora

Securities Analysis is More Than Fundamental and Technical Analysis

The investment landscape is more than just fundamental and technical analysis. In order to do quality research, it has evolved further into what Ralph Acampora has coined as “fusion analysis.” Fusion analysis utilizes a four-legged stool approach to analyzing the financial markets for the purpose of making an investment decision. Fusion analysis comprises economic analysis, fundamental analysis, quantitative analysis, and technical analysis. The multi-discipline integration enables market participants to holistically analyze a financial instrument to enhance their probability for a successful outcome. The elements of fusion analysis are set forth in Figure 1.2.3.



FIGURE 1.2.3 Progression and elements of fusion analysis

Source: Ralph Acampora (modified)

In breaking down fusion analysis, “economic analysis” refers to having an economic overview such as understanding where we currently are in the business cycle — full recession, early

ratings of fundamental analysts who follow industries or companies that perform well within the applicable economic cycle. With a macroeconomic outlook and industries on which to focus that have historically performed well in that cycle, it is important to consider technical analysis to confirm the trend is favorable and matches the economic and fundamental findings. Finally, quantitative analysts look at fundamental (and sometimes technical) factors that get backtested across industries and global markets. Quantitative analysts test and measure the results from those strategies. Quantitative analysis is less its own branch of analysis and more a scientific approach to testing and measuring. The process flows from economic analysis to fundamental analysis to technical analysis and finally quantitative analysis.

While each leg of the four-legged stool can have a scale of 0% to 100%, of course, if there are four legs to the stool, then there should be a mix with an initial starting value of 25% for each.

Now, there will be specialists in each of the four categories who fully believe that their category is the sole determinant of successful investing. Although some may be successful for a period of time, in the long run, proper securities analysis should include an analysis of all available information. While this curriculum focuses candidates on a mastery of the technical approach, you may have to rely on colleagues who have a deep understanding of macroeconomics, finance and accounting, and statistical analysis to make fully informed investment decisions. Being a subject matter expert, in this case technicals, is not a crime; however, it would be arrogant to believe that such an expertise makes one a fully informed investor.

Technicals can be considered at the end of the cycle or applied first, such as running a scan to narrow a potential universe from which a deep fundamental approach could be undertaken and then, once further narrowed, analyzed again from a technical lens. Alternatively, one could start with a list of fundamentally sound companies and then apply a technical overlay. Either way, the analysis includes multiple disciplines, which, over time, should lead to better outcomes.

¹ Murphy, John J. *Technical Analysis of the Financial Markets*. New York, NY: Penguin Group (SA) Inc., 1999.



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Working Together

Working Together

1.2 Fusion Analysis: Technical Analysis as Part of a Team Approach

Working Together

There are several ways that technically focused individuals can work with fundamentally focused individuals and vice versa. We consider fundamentally focused individuals to be the typical sell-side analyst, most buy-side portfolio managers and analysts, and even retail investors and their financial advisors.

Generally Accepted Assumptions for Securities Analysis

When it comes to analyzing the market, analysts need to accept that: 1) the market is a discounting mechanism; 2) there is a constant search for equilibrium of buyers and sellers; and 3) the relative flow of funds can provide insight into future behavior. While all freely traded markets can be analyzed in the same manner, analysts need to remember that markets are not independent of each other; they are interdependent. Such interdependency is often ignored by fundamental analysts. Overall market conditions and sector conditions influence the price of a particular security in addition to the company's conditions. In fact, market and sector conditions may have even more influence on a particular stock than the applicable company's conditions. This is because of the interdependency of factors determining market price where there is robust depth and liquidity.

How Technicians Can Work with Fundamentalists

- Remember that Dow Theory postulates an economic rationale:** Charles H. Dow initially constructed the railroad average as a way to measure the strength of the economy and the state of business in the U.S. He felt something was missing and later developed the industrial average. It was at this point Dow introduced the concepts of confirmation and non-confirmation to the technical analysis lexicon. However, the confirmation that Dow was seeking was that the underlying economy was strong or potentially deteriorating. If the economy was strong, both the railroad and industrial averages should be rising together. If the economy was weak, both indexes should be falling together. Dow further postulated a disconnection in the price action of the two indexes could be a potential warning of an economic reversal. While confirmation is more commonly identified with technical indicators and price action, technicians should always be mindful that the basis of Dow's work required an underlying economic rationale.

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January 21, 2021, a different political party was sent to Washington, DC – a party that is much more focused on renewable energy investment and, at times, hostile to the fossil fuel industry. In these environments, the fundamentals would imply (and many market participants acted on) selling renewable energy-related securities from 2016 to 2020 and buying those securities from 2021 through September 2024. The fundamental case became more bullish since 2020 because of substantial investments in renewable projects both domestically and abroad by federal and state governments, prominent political and business leaders, and Wall Street firms. Despite the favorable backdrop, ETF proxies for renewable energy companies unequivocally show that performance was significantly better from 2016 to 2020 than after the concerted effort in favor of renewable energy versus fossil fuels. In fact, since the transition of power, these proxies have generated steep negative returns versus the strong absolute returns from 2016 to 2020. Discussing the favorable macro backdrop from an investment and regulatory perspective while comparing the outcome to price highlights indeed that price and fundamentals can move in opposite directions. This is a clear example of why following the price trend is important. This example is set forth in Figure 1.2.4.

Fund Name	Ticker	1/20/2017 to 1/19/2021	1/20/2021 to 9/30/2024
iShares Global Clean Energy ETF	ICLN	279%	-53%
First Trust Global Wind Energy Fund	FAN	104%	-28%
Invesco Solar ETF	TAN	544%	-62%
First Trust NASDAQ Clean Edge Green Energy Index Fund	QCLN	433%	-57%
First Trust NASDAQ Clean Edge Smart Grid Infrastructure Index Fund	GRID	109%	48%
Invesco WilderHill Clean Energy ETF	PBW	567%	-84%

FIGURE 1.2.4 Performance of renewable energy ETFs over two presidential administrations with different policies

Source: Based on data provided by [StockCharts.com](https://stockcharts.com)

- **Use technicals to help identify investable themes:**
When technicians review price charts, they can identify potential similarities of one sector, industry group, or group of related securities. Sometimes the

Homebuilders ETF (XHB) was up 70.06% versus the SPDR S&P 500 ETF Trust's (SPY) increase of 32.46%. Obviously, homebuilding companies such as Lennar Corp. and PulteGroup, Inc. were key beneficiaries, but so were second derivative companies such as Sherwin-Williams Co (SHW), Union Pacific Corp. (UNP) and Old Dominion Freight Line (ODFL), and by late 2023, Mohawk Industrials, Inc. (MHK) – none of which were members of the XHB. It is clear from the performance of homebuilders, as well as the need in the U.S. for more housing, that an investment into the homebuilders could be beneficial. But it was more than homebuilders. Lumber is required for new home construction and lumber is generally transported around the country by truck and rail. New homes require paint, floors, and counters. The charts of these companies showed potential breakouts emerging that fit a theme and held an economic rationale. Figure 1.2.5 factored the S&P 500®, XHB, SHW, MHK, UNP, and ODFL to the S&P 500's cycle low on October 13, 2022 through the end of 2023. During 2023, the home construction theme and related companies generally produced above market returns and even the underperformers – UNP and MHK – produced strong returns off their respective lows. What is more, Figure 1.2.6 highlights the 2023 price and total return of these securities, which further emphasizes the point, especially at a time when so few stocks were performing well.

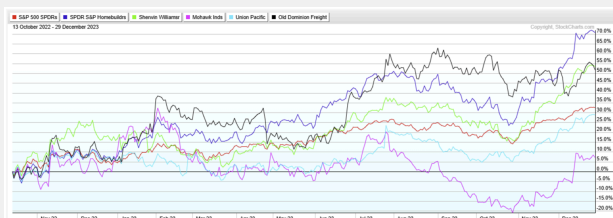


FIGURE 1.2.5 Homebuilders and select related companies was an identifiable theme in 2023

Fund Name	Ticker	Price Change	Total Return
SPDR S&P 500 ETF Trust	SPY	29.88%	32.46%
SPDR S&P Homebuilders ETF	XHB	68.45%	70.60%
Sherwin-Williams Company	SHW	51.61%	53.53%
Mohawk Industries, Inc.	MHK	7.05%	7.05%
Union Pacific Corporation	UNP	24.84%	28.78%
Old Dominion Freight Line, Inc	ODFL	50.93%	51.75%

Source: Based on data provided by [bloomberg.com](https://www.bloomberg.com)

- **Use intermarket relationships to inform and unlock a macro view:** In 2023, an interesting phenomenon developed when everyone in the U.S. was focused on the “Magnificent 7” stocks breaking out and the narrowed market breadth, while around the world, indexes in Europe, Asia, Africa, and Australia were breaking out as well. What is interesting, the composition of those indexes are vastly different than the S&P 500. Additionally, at this time, the U.S. dollar had broken down and was in a technical downtrend. The U.S. dollar’s downtrend provided a tailwind to large multinational U.S. equities (i.e., the companies that derive a meaningful portion of their revenue abroad) as well as emerging markets, which typically struggle with U.S. dollar strength. What’s more, there was evidence on a global scale that equities were breaking out and there would be a global expansion of market breadth that was country, sector, and industry agnostic. Figures 1.2.7 through 1.2.10 highlight some of the major indexes outside of the U.S. breaking out in 2023 when the media was obsessed with the Magnificent 7. In addition, Figures 1.2.11 and 1.2.12 highlight breadth expansion in the U.S. Figure 1.2.11 is the Russell 3000 Index, which includes roughly 96% of all investable U.S. equities, while Figure 1.2.12 is the S&P 400 Midcap Index, which has zero exposure to the Magnificent 7 names, and Information Technology is only about 10% of the Index.

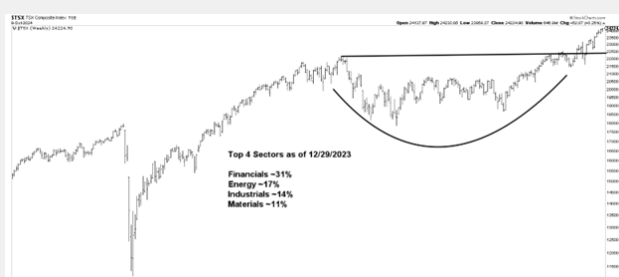


FIGURE 1.2.7 TSX Composite Index TSE (\$TSX)

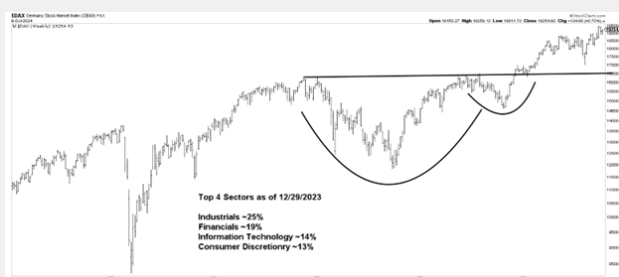
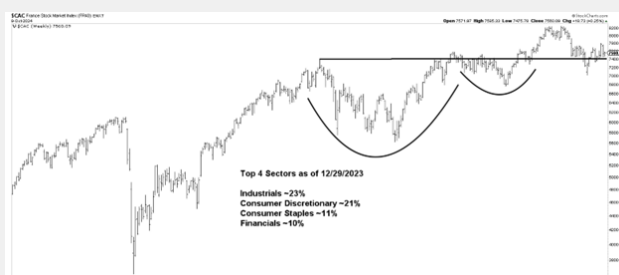


FIGURE X1.2.8 Germany Stock Market Index (\$DAX)



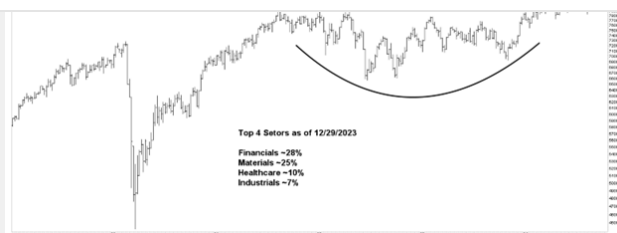


FIGURE 1.2.10 Australia ASX (\$AORD)

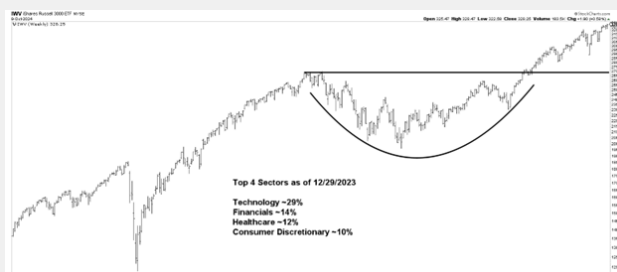


FIGURE 1.2.11 iShares Russell 3000 ETF (IWM)

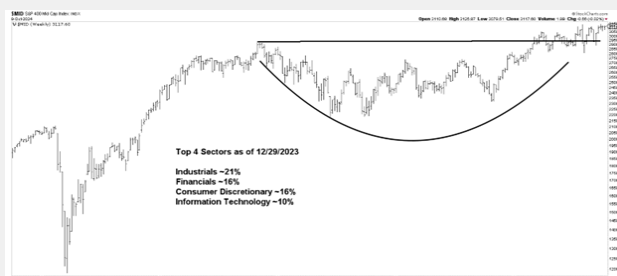


FIGURE 1.2.12 S&P 400 Midcap Index (\$MID)

- **Approach markets from a top-down and/or bottom-up perspective:** When talking with a sector or industry analyst, a technician can add value because of an understanding of price action in their sector, other sectors, the indexes, and even the asset class. This perspective allows the technician to challenge and refine or further validate the fundamental analyst's investment thesis.

How Fundamentalists Can Work With Technicians

- **Determine relative strength and rank a coverage universe:** Fundamental analysts who follow industries or sectors oftentimes rate their universe on a relative basis. This is done for myriad reasons, including for pair trading recommendations (buying one security and selling a similar, highly correlated security, such as being long ExxonMobil and short Chevron). Fundamental analysts who do not incorporate technical analysis may determine the pairs trading solely on their fundamental assumptions. However, this exercise is best served from applying a relative strength analysis. As you can learn through the work of market technicians including Robert A. Levy, Gary Antonacci, John Lewis, Meb Faber, Cliff Asness, and other, relative strength investing can offer superior returns when compared to other types of approaches. This analysis can be done as a comparative ratio of the two securities, which is then analyzed through a technical lens or the application of another ranking method such as the Levy Method, Trend Slope Method, etc.

of their universe. With so many “good” companies in the same industry or sector, having a technical understanding can help analysts identify which of their “buy” universe actually should be bought today as opposed to an opinion that “this is a good company.”

- **Time rating changes:** Fundamental analysts can delay upgrading or downgrading a stock in their coverage universe until the technicals show signs of a potential change in trend. For example, a fundamental analyst may want to upgrade a stock with price in a downtrend and no near-term technical support. If the fundamental analyst delays their upgrade until the stock stabilizes, it could make for a timelier recommendation. While many fundamental analysts believe that markets cannot be timed, the skillset you have and will continue to learn in this program, if properly utilized, can potentially dispel that belief. While nobody can consistently pick the top and bottom of each market, the technical analyst understands the characteristics and steps that enhance the probability of a desired outcome. Incorporating this type of analysis enables the fundamental analyst to address short-term risks to price.
- **Adequately explain day-to-day market gyrations and provide clients with perspective during major market moves:** Although this is similar to the timing of ratings changes discussed above, ratings changes are typically infrequent. When stocks break down at a major support level or break out at a major resistance level, the stock could travel faster and further than people would sometimes expect. Being able to identify potential reversal points and key levels can help manage risk and potentially avoid severe drawdowns.
- **Identify confluences as a reasonable check to fundamental target prices:** Fundamental analysts are known for their ratings (e.g., buy, hold, and sell) and a target price, which is usually a multiple of earnings or some other accounting metric. The technical analyst can assist their fundamental peers by providing technical price objectives, such as those that can be calculated from point and figure work, measured moves, Fibonacci extensions, etc. These technical price objectives can provide a sanity check on valuation.

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1.2 Fusion Analysis: Technical Analysis as Part of a Team Approach

In Summary

Analysis should not be solely fundamental or technical. Comprehensive securities analysis should include not only an analysis of the company and the stock but an understanding of the macro environment and quantitative factors. Some market participants believe it is appropriate to buy on fundamentals and sell on technicals. This is one approach that enables the analyst to incorporate both disciplines in a way that maximizes each's respective utility.

Both the technical analyst and the fundamental analyst have unique skills that are important when making investment decisions. The fundamental analyst can contribute to the technical analyst's process by helping them understand the economic rationale and investable themes. The technical analyst can help the fundamental analyst with the timing of their recommendations, relative ranking of their coverage universe, and cross-checking whether the current market, sector, and individual trends align with the fundamental outlook.

The technical analyst is taught to follow the underlying trend. A technical analyst should have a mastery of the skillset required to identify the trend and a process to anticipate when the underlying trend is vulnerable to reversal. Following the trend should remove any preexisting bias to simply buy a stock because the company is "good." Just because it is a "good" company does not mean it is a good time to buy the stock. There are good times to sell good stocks and bad times to buy good stocks. Sometimes (usually at the end of the move), the technicals or the fundamentals will differ, but eventually they will come back into alignment. At times when the technicals and fundamentals diverge, there should be a heightened focus on risk management, raising stops, and a reassessment of the fundamental and technical evidence. While there are discrepancies at the extremes, those observations should be carefully watched with investors ready to act. Ultimately, working together helps the desired outcome.

Security analysis comes down in a large part to trust. Fundamental analysts need to trust that the guidance they receive from management is "reasonable," management needs to trust that accounting standards fairly measure a company's position and results from operations, the public needs to trust that regulations are in place so they are not disadvantaged, and so on. While these groups have a strong track record of being trustworthy, there have been instances of rogue or corrupt fundamental analysts. On the other hand, price has a 100% track record of being trustworthy.

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☐ Low

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